Core Scientific (CORZ)

3Q26 | 5 November 2026 | Earnings Update | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Core Scientific as a colocation landlord with about 1.1 GW leased, moving from CoreWeave-only to AMD-backed tenancy, and price doubt over CoreWeave credit and over how the $6bn AMD build gets financed.

Thesis status. Monitoring

Versus expectations. Quarter: beat, revenue $232.9mn against about $196.4mn to $196.9mn (+18%); adjusted EBITDA $133.6mn, no consensus found; diluted EPS $0.47 is warrant-driven and not comparable to about -$0.05. Outlook: in line on delivery (4Q revenue up double digits sequentially, AMD from 1H27); below on funding, with project debt still not secured.

Biggest changes. (1) Rent ramp beat: 485 MW billing against 437 MW in mid-July and 395 MW in June; colocation revenue $215.4mn, +58% QoQ; colocation gross margin 60%. (2) First clean operating profit: operating income $72.4mn (31% margin) against a $78.5mn loss, with adjusted EBITDA margin 57%. (3) AMD funding still open: the 10-Q says the build will need additional external financing, with project bonds expected within 12 months and 'no assurance'. Management says no equity is expected for the initial 530 MW and all its equity is already invested. (4) Liquidity fell $857mn to $1,744mn after $540mn of capex and $444mn for Polaris, against $4.4bn of purchase and construction commitments, mostly over 24 months. (5) Definition correction: the $3bn market-cap test is a condition to borrow on the revolver, not a maintenance covenant. The quarterly test is $150mn minimum liquidity.

Investor takeaway. The consensus view needs little change: delivery and margins came in better than expected, which supports the rent story, but credit quality holds rather than improves until the AMD project bond prices and because almost all current revenue still depends on CoreWeave, whose debt trades at distressed levels.

Monitor next quarter. (1) First AMD project bond: size, yield, advance rate, recourse. (2) Dalton Phase Two: the last roughly 100 MW of CoreWeave billing by early 2027, and first Pecos delivery in 1H27. (3) Tranche 1 warrant cash (about $650mn, expiry 23 January 2027) and whether AMD exercises reservations through 2027.

Post-call version. Sources: 3Q26 release and 10-Q (EDGAR, 5 November); machine-generated call transcript (MarketBeat/Quartr), speakers unlabelled, read once and cross-checked on key points against BigGo's AI summary; quotes need checking against the audio. History held: 3Q26 and two comparison quarters from the release; 2Q26 call from the preview record only. No knowledge base on this run, so historical depth is limited.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 CoreWeave ramp delivers	Billing well above 437 MW; Dalton Phase Two from year-end	485 MW at 30 September, unchanged at the call; license fees $157.3mn; remaining about 100 MW at Dalton by early next year, no firm dates	Confirmed	Release; 10-Q; call
P2 CoreWeave credit holds	Payment continues; CDS are noise	All colocation revenue, 84% of 9M revenue. Leases assigned to CW SPV with CoreWeave still primary obligor; management cites SPV backing, guarantee and UCC-perfected security. No analyst asked. 10-Q: recourse depends on its condition at default	Unresolved	10-Q; call
P3 AMD diversifies	530 MW delivers in 2027-28 on $14bn	Pecos 1H27, about half online in 2027, rest through 2028; reservation right on 1,925 MW through 28 December 2028. No AMD lease has commenced, construction underway across five campuses; AMD holds warrants as lease incentive	Unresolved	10-Q; call
P4 Project debt funds the AMD build	About $6bn from project bonds	Not secured; no yield, advance rate or date. 'The project bond market is absolutely open', but no gating item was named. Equity: none expected for 530 MW	Challenged	10-Q; call

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P5 Clean numbers	Warrant noise fades; weakness fixed	$1,034mn warrant gain drove net income $1,178mn; material weakness not remediated, target year-end assessment. Operating income now positive	Unresolved	Release; 10-Q

Emphasized more: AMD share of NOI (over half of stabilized NOI on under half of capacity); new power (about 385 MW more at Muskogee and Hunt by mid-2028); behind-the-meter at Pecos; capital scarcity as an advantage ('capital is the throttle on all new development'). Emphasized less or dropped: speculative build of about 500 MW was not quantified; mining exits by year-end. KPIs more important: billing MW, operating margin, liquidity against commitments. Less: net income. Risks up: funding sequence, Texas permits. Down: CoreWeave delivery, cost of mining drag. Margin moves are structural: fixed rent on delivered MW over a mostly fixed cost base.

Analyst focus matrix

Topic	Who asked in 3Q26	Questions	Rating of answers
Capex and funding; cost of debt	Needham, Cantor, Jefferies	3	Partial, except direct on warrant cash
Power, permits and Texas	Needham, Cantor, Craig-Hallum, KBW, Jones (2), Compass Point	7	Direct on filing status; partial on timing
AMD reservations	Lucid	1	Partial; adjustment not answered
Build cost and yield	UBS, Clear Street	2	Partial to deflected; $11mn-$12mn per MW kept, no % locked
Long-run margin	Jefferies	1	Deflected
Site pipeline and M&A	B. Riley, BTIG (2), Craig-Hallum, UBS	5	Mostly direct; 2 GW mix deflected
Customer credit (CoreWeave)	None	0	Not asked

Trevor's watch-list. No analyst was named by CK; I chose Petersen (Jefferies), the most direct on project finance on this call, though with one transcript held the pick is thin. 3Q question: project finance covenants and loan-to-cost? Answer: bond market open, more diligence, no change in terms, no figure. Rating: partial. Later evidence: terms of the first bond. Wider point: with CoreWeave's CDS at a record in October, nobody asked what happens to 590 MW if it misses a payment. Trend needs earlier transcripts; Q&A counts come from one quarter. Ratings are our judgment. — Trevor

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Billing MW	485	395	n.a.	[↑] +22.8%
Contracted MW (CoreWeave 590 + AMD 530)	about 1,120	about 1,120	n.a.	[~]
Total revenue ($mn)	232.9	164.2	81.1	[↑] +41.8% / +187%
Colocation revenue ($mn)	215.4	136.7	15.0	[↑] +57.6% / +1,341%
of which license fees ($mn)	157.3	98.8	9.8	[↑] +59.2%
of which power pass-through ($mn)	57.6	35.1	3.6	[?] pass-through
Colocation gross margin	60%	59%	26%	[~]
Self-mining revenue ($mn)	12.3	21.5	57.4	[↓] exit by year-end
Adjusted EBITDA ($mn)	133.6	41.1	6.5	[↑] +225%
Adjusted EBITDA margin	57%	25%	8%	[↑]
Operating income ($mn)	72.4	-78.5	-54.8	[↑]
Operating margin	31.1%	-47.8%	-67.6%	[↑]
Interest expense, net ($mn)	35.0	23.8	-0.8	[↓] +47%
Change in warrant value ($mn, gain)	1,034.4	-1,045.5	-74.9	[?] marks
Net income ($mn)	1,178.1	-1,155.3	-144.0	[?] marks
Capex incl. acquisitions ($mn)	985.1	797.5	244.5	[↓] +23.5%
Liquidity and DSRA ($mn)	1,744.2	2,601.1	694.8	[↓] -32.9%
Cash ($mn)	803.9	1,769.7	n.a.	[↓] -54.6%

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Long-term debt ($mn)	4,302.2	4,298.0	n.a.	[~]
Warrant liabilities ($mn)	1,118.9	1,975.3	n.a.	[?] marks
Stockholders' deficit ($mn)	-1,092.1	-2,419.4	n.a.	[↑]
Shares outstanding (mn)	322.0	n.a.	n.a.	[?]

Note: for cost, debt and dilution lines, [↓] means worse for shareholders. 3Q25 EBITDA margin computed from 6.5 / 81.1. Contracted MW 2Q as AMD signed in July, disclosed with 2Q. Operating margin computed. Depreciation is small today (D&A $18.0mn) because the customer funded most CoreWeave capex.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
4Q revenue	Double-digit sequential increase	New	4Q consensus not found	More billing, Dalton	Not pressed
CoreWeave delivery	About 100 MW remaining by early 2027	Consistent; preview had a year-end start	n.a.	Dalton Phase Two	Not pressed
AMD delivery	Pecos 1H27; about half in 2027; rest through 2028	Maintained	n.a.	530 MW over five campuses	Questions on permits, load studies
AMD build cost	$11mn-$12mn per MW	Maintained	n.a.	Owner-furnished equipment bought early	UBS got no % locked
Portfolio run-rate	$1.8bn revenue, $1.6bn NOI on about 1.1 GW	Maintained	n.a.	Contract average	Do-the-math answer on margin
AMD equity	None expected for Phase 1	Firmer than October	Needham noted possible stock offering	Equity already invested	Funding still pending
Project bonds	Within 12 months (10-Q)	Maintained	n.a.	Optimizing package across five leases	Partial answers

Underlying economic performance: improved. Operating income turned positive on 90 MW more billing; annual coupon on the $3.30bn notes is about $256mn (our arithmetic) and amortization at 11.5% a year starts once rent credits end. The improvement is structural while CoreWeave pays.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power and sites	Strong	Up	About 2.6 GW gross, 1.7 GW leasable, 385 MW more secured by mid-2028	Scarce power supports repricing
Tenant quality	Mixed	Up, slowly	AMD over half of stabilized NOI once built; CoreWeave all of today's rent	Mix improves only as AMD delivers
Cost of capital	Weak	Down	7.75% secured notes; no AMD bond yet	Price of next dollar is the test
Execution	Good	Up	90 MW added in the quarter, margin 60%	Supports AMD credibility
Durability	Moderate	Stable	Term 12 years CoreWeave, 15 years AMD plus options	Bond investors will underwrite AMD years

5 to 10 year view: if AMD and its supported neocloud lease deliver, the business becomes a $1.6bn NOI landlord with half its income on stronger paper. The value of the option on 1,925 MW more depends on funding and AMD using it.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
CoreWeave credit and concentration	High	High	Flat	All colocation revenue; 10-Q flags limits on recourse; CoreWeave CDS touched 1,194.5bp in October; stock $48.42 on 4 November

Risk	Prior status	Current	Direction	Implication
AMD financing	High	High	Up	Bond not priced; $4.4bn commitments; 10-Q warns it may reduce, delay or modify spend without financing
Liquidity sequence	Moderate	Elevated	Up	$804mn cash, $838mn restricted, $100mn revolver; revolver draw needs market cap of $3bn or more (about $3.7bn at $11.63)
Texas permits and rules	Moderate	Elevated	Up	Air permits at Pecos and Hunt not filed; the December state review was raised by Needham and not answered
Reporting controls	Moderate	Moderate	Flat	Material weakness unremediated

Concern: CoreWeave fails. → Response: SPVs with end-customer commitments, CoreWeave as guarantor, UCC-perfected interest in infrastructure. → Evidence: leases assigned to CW SPV; no re-lease plan or timing given; no analyst asked. Concern: AMD funding forces equity. → Response: none expected for Phase 1. → Evidence: all sponsor equity 'already invested', amount not given; bond pending; about $650mn of warrant cash goes primarily to equity in proactive builds as reservations are exercised (CFO), while the 10-Q lists it among anticipated sources alongside restricted cash released through letters of credit.

7 Capital, funding and per-share impact

Site group	MW	Tenant	Lease value	Capex	Funded by	Status
Five conversion campuses	590	CoreWeave (some leases via CW SPV)	Over $10bn (over $24bn potential total less about $14bn; our arithmetic)	Mostly customer funded; $180.9mn 9M	Customer; capped company share	485 MW billing; about 105 MW in construction
Five campuses incl. Pecos, Muskogee, Hunt	530 (377 direct + 152 supported)	AMD; neocloud with AMD support	About $14bn, 15 years	About $6bn at $11mn-$12mn per MW	Equity done; project bonds pending	Pecos 1H27; rest through 2028
Reservation	1,925	AMD option	n.a.	n.a.	Warrant cash, future bonds	Through 28 December 2028

Per-share: 322.0mn shares; diluted weighted 469mn given warrants. Tranche 1 warrants: 94.9mn at $6.81, about $646mn if exercised by 23 January 2027 (in the money at $11.63). AMD warrant: up to 30mn at $23.47, vesting 12,222 shares per MW; issue-date value $90.1mn on the 530 MW and $206.4mn unvested on the reservation, booked as lease incentive and a real cost of AMD's lease. Next dollar: 7.75% notes (May 2026); no later price. Maturities: $3.30bn 7.75% notes due 2031, amortizing; $460mn 3.00% converts due 2029; $625mn 0% converts due 2031. L/C facility up to $500mn, none issued at 30 September, to replace cash collateral. Market cap about $3.7bn on $11.63 (5 November, 9:57 ET, down 8.9%); the 4 November close of $12.76 was before results. No bond quote found. Implied average rate: about $134/kW-month ($1.8bn / 1,120 MW / 12) and about $147 on AMD ($14bn / 15 / 530 MW / 12), our arithmetic.

8 Monitoring checklist

5 signals: AMD bond terms; Dalton billing; warrant exercise; first AMD reservation exercise; CoreWeave results on 10 November. Key risks building: funding sequence; Texas air permits; CoreWeave. Confirmation signals: Project bond priced with no parent recourse; Pecos on time; second tenant named. Conviction tripwires: Equity sold near $12; revolver unavailable if market cap falls below $3bn; any CoreWeave lease amendment; rent credits extended.

Questions for owners (preview questions and how the call answered them)

Question	How the call answered
CoreWeave default: what happens to 590 MW and how long to re-lease? (credit)	Not asked or addressed; prepared remarks gave SPVs, guarantee and security only.
AMD bond: yield, advance rate, parent equity; common stock near $13? (credit)	Yield and advance rate not given; bond market 'absolutely open'; no equity for Phase 1, amount of equity invested not given.
Billing on 30 September and today; Dalton dates?	485 MW for both; about 100 MW by early next year; no dates.
Any covenant tied to market cap? (credit)	Not raised on call. 10-Q: $3bn is a condition to revolver borrowing; $150mn minimum quarterly liquidity.

Question	How the call answered
AMD reservations: how long, anything paid?	Quarterly deadlines, most in 2027, final end-2028 (1,925 MW per 10-Q; dates undisclosed); payment not addressed.
New for owners: warrant cash is 'primarily' for proactive builds. How much will you commit before a tenant signs, and at what price? (credit)	Open.

Read-across for Kona

Three points. A signed AMD-backed lease still has not produced a priced bond after more than three months, so Kona should not assume paper converts to debt quickly. AMD's support came with warrants valued at $90.1mn on the first 530 MW, about $0.17mn per MW, plus more on reserved MW: credit from a stronger party has a price Kona should budget. And US peers now pursue behind-the-meter with air permits unfiled, which keeps Kona's permitted off-grid pitch relevant, though analysts here asked about permits more than anything else.